CLOSING STATEMENT

Dunmore Calloway Health Center | Boston, MA

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Property	Dunmore Calloway Health Center
Settlement Date	January 31, 2018
Buyer	Tidewater Core Fund
Seller	Gable Point Capital
Sale Price	$71,510,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$71,510,000			
Earnest money deposit		$151,793	$151,793	
Real estate tax proration	$42,125			$42,125
Rent proration			$270,166	
Security deposits assumed	$551,751	$551,751		
Prepaid rents			$346,380	$346,380
Owner's title policy premium	$126,504			
Lender's title policy premium		$245,257	$245,257	
Escrow fee	$76,041			$76,041
Recording fees			$692,701	
Transfer tax	$392,470	$392,470		
Survey			$523,784	$523,784
Legal fees - Buyer	$663,302			
Legal fees - Seller		$58,243	$58,243	
Broker commission	$302,817			$302,817
Loan origination fee			$169,196	
Lender legal	$609,154	$609,154		
Appraisal fee			$207,330	$207,330
Environmental report	$236,454			
Property condition report		$124,322	$124,322	
Tax escrow deposit	$577,738			$577,738
Insurance escrow deposit			$107,688	
Replacement reserve deposit	$80,150	$80,150		
Utility deposits			$163,200	$163,200
Assumed vendor contracts credit	$428,415			

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$71,510,000			
Legal fees - Seller		$206,111	$206,111	
Broker commission	$268,449			$268,449
Loan origination fee			$77,542	
Lender legal	$19,805	$19,805		
Appraisal fee			$408,428	$408,428
Environmental report	$454,972			
Property condition report		$651,863	$651,863	
Tax escrow deposit	$23,432			$23,432
Insurance escrow deposit			$567,128	
Replacement reserve deposit	$103,714	$103,714		
Utility deposits			$594,046	$594,046
Assumed vendor contracts credit	$623,181			
Tenant improvement credit		$90,377	$90,377	
Courier / wire fees	$682,754			$682,754
Municipal certificates			$593,821	
Purchase price	$290,255	$290,255		
Earnest money deposit			$642,859	$642,859
Real estate tax proration	$508,477			
Rent proration		$66,349	$66,349	
Security deposits assumed	$194,812			$194,812
Prepaid rents			$172,965	
Owner's title policy premium	$427,301	$427,301		
Lender's title policy premium			$376,719	$376,719
Escrow fee	$687,394			
Recording fees		$698,918	$698,918	
Transfer tax	$18,706			$18,706
Survey			$153,033	

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Valuation Discussion

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $371,000 or approximately 20.89 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.64x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $11,000 or approximately 13.51 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.97% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 20 spaces per 1,000 square feet.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Operating expenses totaled $431,000 or approximately 14.16 per square foot, with real estate taxes representing the largest line item. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 8 spaces per 1,000 square feet. Effective gross income for the trailing period was $399,000, representing a 13.3% increase over the prior year.

Financial Analysis

The going-in capitalization rate of 7.92% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Debt service coverage ratio was 5.72x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $67,000, representing a 6.0% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $16,000 or approximately 22.68 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $410,000, representing a 12.5% increase over the prior year. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$71,510,000			
Tenant improvement credit		$59,203	$59,203	
Courier / wire fees	$192,932			$192,932
Municipal certificates			$122,729	
Purchase price	$69,714	$69,714		
Earnest money deposit			$50,439	$50,439
Real estate tax proration	$258,388			
Rent proration		$501,808	$501,808	
Security deposits assumed	$238,830			$238,830
Prepaid rents			$137,396	
Owner's title policy premium	$459,207	$459,207		
Lender's title policy premium			$340,792	$340,792
Escrow fee	$463,575			
Recording fees		$287,215	$287,215	
Transfer tax	$384,600			$384,600
Survey			$458,294	
Legal fees - Buyer	$302,546	$302,546		
Legal fees - Seller			$461,696	$461,696
Broker commission	$46,168			
Loan origination fee		$392,033	$392,033	
Lender legal	$186,548			$186,548
Appraisal fee			$219,973	
Environmental report	$331,306	$331,306		
Property condition report			$27,768	$27,768
Tax escrow deposit	$370,088			
Insurance escrow deposit		$144,988	$144,988	
Replacement reserve deposit	$244,831			$244,831
Utility deposits			$319,349	

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Financial Analysis

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Effective gross income for the trailing period was $194,000, representing a 6.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $480,000 or approximately 8.35 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses.

Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 7.43% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Valuation Discussion

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The going-in capitalization rate of 8.09% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Operating expenses totaled $429,000 or approximately 36.88 per square foot, with real estate taxes representing the largest line item.

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$71,510,000			
Recording fees		$611,726	$611,726	
Transfer tax	$502,176			$502,176
Survey			$324,133	
Legal fees - Buyer	$128,721	$128,721		
Legal fees - Seller			$632,654	$632,654
Broker commission	$160,376			
Loan origination fee		$599,115	$599,115	
Lender legal	$44,340			$44,340
Appraisal fee			$379,100	
Environmental report	$295,349	$295,349		
Property condition report			$322,657	$322,657
Tax escrow deposit	$495,804			
Insurance escrow deposit		$234,400	$234,400	
Replacement reserve deposit	$548,164			$548,164
Utility deposits			$243,264	
Assumed vendor contracts credit	$284,550	$284,550		
Tenant improvement credit			$345,969	$345,969
Courier / wire fees	$131,469			
Municipal certificates		$348,290	$348,290	
Purchase price	$336,992			$336,992
Earnest money deposit			$71,514	
Real estate tax proration	$621,069	$621,069		
Rent proration			$404,799	$404,799
Security deposits assumed	$641,363			
Prepaid rents		$169,845	$169,845	
Owner's title policy premium	$566,608			$566,608
Lender's title policy premium			$601,229	

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Valuation Discussion

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Operating expenses totaled $308,000 or approximately 32.92 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $287,000, representing a 9.2% increase over the prior year. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 6.16x on a trailing basis against a covenant minimum of 1.20x.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.83x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.88% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $136,000, representing a 10.6% increase over the prior year. Operating expenses totaled $203,000 or approximately 23.76 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

The going-in capitalization rate of 7.46% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $13,000, representing a 12.5% increase over the prior year. Patient parking and ADA-compliant access are provided at a ratio of 15 spaces per 1,000 square feet. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

The going-in capitalization rate of 6.64% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 33 spaces per 1,000 square feet. Effective gross income for the trailing period was $26,000, representing a 6.2% increase over the prior year.

Valuation Discussion

Operating expenses totaled $174,000 or approximately 21.56 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 27 spaces per 1,000 square feet.

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 22 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Effective gross income for the trailing period was $121,000, representing a 12.9% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$71,510,000			
Insurance escrow deposit		$84,253	$84,253	
Replacement reserve deposit	$684,155			$684,155
Utility deposits			$270,553	
Assumed vendor contracts credit	$414,390	$414,390		
Tenant improvement credit			$219,492	$219,492
Courier / wire fees	$575,071			
Municipal certificates		$405,775	$405,775	
Purchase price	$77,144			$77,144
Earnest money deposit			$436,458	
Real estate tax proration	$274,602	$274,602		
Rent proration			$470,906	$470,906
Security deposits assumed	$175,810			
Prepaid rents		$390,992	$390,992	
Owner's title policy premium	$594,929			$594,929
Lender's title policy premium			$705,854	
Escrow fee	$584,468	$584,468		
Recording fees			$336,453	$336,453
Transfer tax	$537,634			
Survey		$150,617	$150,617	
Legal fees - Buyer	$23,824			$23,824
Legal fees - Seller			$230,737	
Broker commission	$591,620	$591,620		
Loan origination fee			$660,827	$660,827
Lender legal	$289,583			
Appraisal fee		$690,988	$690,988	
Environmental report	$613,977			$613,977
Property condition report			$696,373	

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Income and Expense Review

Debt service coverage ratio was 8.04x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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Debt service coverage ratio was 7.78x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Rents average $28 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 32 spaces per 1,000 square feet.

Financial Analysis

Patient parking and ADA-compliant access are provided at a ratio of 27 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $465,000 or approximately 20.12 per square foot, with real estate taxes representing the largest line item. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

Debt service coverage ratio was 7.50x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $329,000, representing a 6.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Income and Expense Review

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Operating expenses totaled $273,000 or approximately 33.20 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $369,000, representing a 9.7% increase over the prior year. The going-in capitalization rate of 5.51% reflects the in-place income and the stabilized occupancy assumption. Patient parking and ADA-compliant access are provided at a ratio of 2 spaces per 1,000 square feet. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses.

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.61x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $395,000 or approximately 45.22 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$71,510,000			
Prepaid rents		$567,032	$567,032	
Owner's title policy premium	$152,475			$152,475
Lender's title policy premium			$630,709	
Escrow fee	$651,825	$651,825		
Recording fees			$136,553	$136,553
Transfer tax	$658,565			
Survey		$639,545	$639,545	
Legal fees - Buyer	$468,047			$468,047
Legal fees - Seller			$194,730	
Broker commission	$461,198	$461,198		
Loan origination fee			$16,460	$16,460
Lender legal	$340,880			
Appraisal fee		$364,016	$364,016	
Environmental report	$565,952			$565,952
Property condition report			$221,094	
Tax escrow deposit	$139,254	$139,254		
Insurance escrow deposit			$372,056	$372,056
Replacement reserve deposit	$572,661			
Utility deposits		$119,721	$119,721	
Assumed vendor contracts credit	$145,933			$145,933
Tenant improvement credit			$415,355	
Courier / wire fees	$21,413	$21,413		
Municipal certificates			$198,087	$198,087
Purchase price	$332,964			
Earnest money deposit		$98,355	$98,355	
Real estate tax proration	$106,994			$106,994
Rent proration			$246,134	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Dunmore Calloway Health Center Owner LLC

By: Michael Xu Title: Authorized Signatory Date: 01/31/2018

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Cardinal Dermatology

By: Grace Lopez Title: President Date: 01/31/2018

Exhibit A - Property

Dunmore Calloway Health Center, 5858 Centennial Way, Boston, MA 67666. Parcel containing approximately 11.36 acres, together with all improvements thereon.

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